

Quantitative Analyst Report: XOM

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1. Final Verdict

Verdict: BUY

Buy Probability: 0.65

Confidence: 0.80

Reasoning:

XOM exhibits a strong valuation profile with a forward P/E of ~15x and a conservative net-debt-to-capital ratio of 13.1%. While GAAP net income and FCF saw significant YoY declines in Q1 2026, record production in Guyana and a \$20B share repurchase program provide a strong quantitative floor and catalyst for growth.

Key Factors:

- Forward P/E of 14.7x-15.1x is attractive relative to U.S. peers
- Low debt-to-capital ratio of 15.4%
- Current price (\$152.75) is below the average consensus target of \$161-\$167
- Record production levels in Guyana and Permian Basin targets of 1.8M boe/d

Risks:

- Significant quarterly FCF drop from \$8.84B to \$2.7B
- GAAP net income declined from \$7.7B to \$4.2B YoY
- Exposure to Middle East geopolitical disruptions

2. Grounded Research Q&A

Q1: earnings_and_revenue

What were the most recent quarterly earnings (EPS) and revenue figures for Exxon Mobil Corp (XOM)? Did they beat or miss analyst expectations?

Answer:

For the first quarter of 2026 (ended March 31, 2026), Exxon Mobil Corp (XOM) reported the following financial results:

Key Financial Figures

- * **Revenue:** \$85.14 billion
- * **Earnings Per Share (EPS):**
 - * Non-GAAP (Excluding identified items): \$1.16 per share
 - * U.S. GAAP: \$1.00 per share
 - * Adjusted (Excluding identified items and timing effects): \$2.09 per share

**Did they beat or miss expectations?

The results were generally viewed as a **beat**, although some discrepancies exist between different analyst consensus sources:

- * **Revenue:** Most reports indicate a **beat**. For example, Zacks and Quiver Quantitative noted that the \$85.14 billion figure surpassed analyst expectations (with some estimates ranging from \$79.78 billion to \$83.09 billion).
- * **EPS:** The non-GAAP EPS of \$1.16 is widely reported as a **beat** against consensus estimates (which varied between \$0.98 and \$1.07 according to sources like MarketBeat and Zacks). However, a few sources, such as ChartMill, cited a higher estimate of \$1.20, which would categorize the result as a slight miss.

**Context and Drivers

The company's performance was impacted by several one-off factors:

- * **Timing Effects:** A significant unfavorable timing impact of \$3.9 billion (non-cash accounting mismatch) hit the headline numbers but is expected to unwind in future periods.
- * **Geopolitical Impact:** The company booked \$0.7 billion in lo

Q2: forward_guidance

What is the forward guidance and future growth outlook for XOM for the next quarter and fiscal year?

Answer:

Based on ExxonMobil's (XOM) most recent earnings reports and corporate plan updates (as of May 2026), the company's forward guidance and growth outlook are focused on operational expansion in advantaged assets, structural cost reductions, and aggressive shareholder returns.

**Next Quarter (Q2 2026) Outlook

- * **Dividends:** The company has declared a second-quarter dividend of **\$1.03 per share**, payable on June 10, 2026.
 - * **Operational Focus:** Management is prioritizing the ramp-up of the **Golden Pass LNG** facility (Train 1 achieved first LNG in March 2026) and maintaining record production levels in Guyana.
 - * **Market Dynamics:** The company is navigating "unprecedented disruption" in global oil and gas supplies due to Middle East conflicts, focusing on portfolio flexibility and risk management to mitigate supply chain volatility.
- ### **Fiscal Year 2026 Guidance**
- ExxonMobil has provided specific targets for the 2026 fiscal year:
- * **Production Targets:**
 - * **Permian Basin:** On track to reach **1.8 million oil-equivalent barrels per day (boe/d)** for the full year, with a strategy focused on "value over volume."
 - * **Guyana:** Expects continued record production, with the **Oahu project** slated to deliver first oil by the end of the year.
 - * **Financial Guidance:**
 - * **Capital Expenditures (Capex):** Cash capex is guided in the range of **\$27-\$29 billion**.
 - * **Shareholder Returns:** The company plans to repurchase **\$20 billion**

Q3: valuation_multiples

What are the current valuation multiples for XOM (e.g., P/E ratio, Price-to-Sales, EV/EBITDA)? How do these compare to its industry peers?

Answer:

Based on data from April and May 2026, ExxonMobil (XOM) is trading at a moderate valuation relative to its historical averages and its primary U.S. peers, though it commands a premium compared to European integrated oil companies.

Current Valuation Multiples for XOM

Because financial data varies slightly by source (trailing vs. forward), the following are the approximate current multiples for ExxonMobil:

Metric	Approximate Value	Notes
P/E Ratio (Trailing)	21.4x - 23.1x	Varies by source; reflects recent profit surges.
P/E Ratio (Forward)	~14.7x - 15.1x	Indicates expectations of higher future earnings.
Price-to-Sales (P/S)	~1.9x	Relatively stable across reporting platforms.
EV/EBITDA	9.0x - 11.0x	A key measure of operational value independent of debt.

Comparison to Industry Peers

ExxonMobil generally sits in the middle of the "Supermajor" spectrum?more expensive than

pure-play exploration companies or European peers, but often cheaper than its closest U.S. rival, Chevron.

1. P/E Ratio Comparison

- * **vs. Chevron (CVX):** XOM typically trades at a discount to Chevron, which has recently seen P/E ratios in the **25x ? 28x** range.
- * **vs. ConocoPhillips (COP):** XOM is more expensive than COP (approx. **15.6x**), likely due to XOM's integrated downstream (refining/chemicals) business compared to COP's E&P focus.
- * **vs. Industry Average:** XOM's tr

Q4: analyst_price_targets

What is the consensus 12-month analyst price target for XOM? What are the highest and lowest targets currently set by major Wall Street firms?

Answer:

Because different financial platforms use different methodologies (such as weighting recent targets more heavily or only including analysts from the last 3?12 months), the "consensus" price target for ExxonMobil (XOM) varies by source. Based on current data from major analyst tracking platforms, here is the breakdown of the 12-month price targets:

Consensus Price Targets

The average 12-month target generally falls between **\$148 and \$169**, depending on the source:

- * **TipRanks:** \$167.55
- * **Investing.com:** \$166.14
- * **ChartMill / ValueInvesting.io:** ~\$161.70 to \$168.70
- * **MarketBeat:** \$161.55
- * **Benzinga:** \$148.54

Highest and Lowest Targets

The range of expectations is quite broad, reflecting differing views on oil prices and the company's growth strategy:

- * **Highest Targets:** Range from **\$185.00 to \$204.75**.
 - * **Wells Fargo** is specifically cited as having a high target of **\$185.00** (as of April 2026).
- * **Lowest Targets:** Range from **\$105.00 to \$145.00**.
 - * **Exane BNP Paribas** is cited as having a low target of **\$105.00**.

Summary Table

Source	Consensus (Avg)	Low Target	High Target	Analyst Count
:--	:--	:--	:--	:--
TipRanks	\$167.55	\$145.00	\$195.00	21
Investing.com	\$166.14	\$123.00	\$195.00	22
MarketBeat	\$161.55	\$111.00	\$185.00	21
Benzinga	\$148.54	\$105.00	\$185.00	29

Q5: balance_sheet_health

What is the current state of Exxon Mobil Corp's balance sheet? Look for cash reserves, total debt, and free cash flow generation.

Answer:

Based on the most recent financial reports (as of May 2026), Exxon Mobil Corp maintains a strong balance sheet characterized by conservative leverage and significant cash generation, though recent quarterly figures show some compression in liquidity and free cash flow.

1. Cash Reserves

* **Current Position (Q1 2026):** The company ended the first quarter of 2026 with a cash balance of **\$8.4 billion**.

* **Year-End 2025:** For comparison, the company held **\$10.7 billion** in cash and cash equivalents as of December 31, 2025.

2. Total Debt

Exxon Mobil continues to maintain what it describes as "industry-leading" debt ratios compared to other International Oil Companies (IOCs).

* **Total Debt (Q1 2026):** Total debt rose to **\$47.7 billion** by the end of the first quarter of 2026.

* **Debt Metrics:**

* **Debt-to-Capital Ratio:** 15.4%

* **Net-Debt-to-Capital Ratio:** 13.1%

* **Long-Term vs. Short-Term (FY 2025):** As of the end of 2025, the company had approximately **\$34.2 billion** in long-term debt and **\$9.3 billion** in short-term notes and loans payable.

3. Free Cash Flow (FCF) Generation

The company remains a powerful cash engine, though FCF fluctuates based on capital expenditure (CapEx) and market conditions.

* **Recent Quarterly Performance (Q1 2026):** Free cash flow was **\$2.7 billion**, a significant decrease from the \$8.84 billion generated in the same quarter the previous year. This was partly attributed to a

Q6: earnings_signal_verification

Our analysis found these recent earnings signals for XOM: Imperial Oil Q1 2026 net income: CAD 940 million (down CAD 348 million YoY); ExxonMobil Q1 earnings beat analysts' expectations; ExxonMobil Q1 profits fell despite record oil production. Can you verify these numbers are accurate based on the latest reports?

Answer:

Yes, the earnings signals you provided are **accurate** based on the latest reports from

May 2026. Here is the detailed verification:

1. Imperial Oil Q1 2026 Net Income

- * **Signal:** CAD 940 million (down CAD 348 million YoY).
- * **Verification:** **Accurate.** Imperial Oil reported a first-quarter net income of **CAD 940 million**. This is a decrease of **CAD 348 million** compared to the CAD 1.288 billion reported in Q1 2025.

2. ExxonMobil Q1 Earnings Beat

- * **Signal:** ExxonMobil Q1 earnings beat analysts' expectations.
- * **Verification:** **Accurate.** ExxonMobil reported adjusted earnings per share (EPS) of **\$1.16**, which surpassed consensus analyst estimates (which ranged from \$1.00 to \$1.07 depending on the firm). Additionally, its revenue of **\$85.14 billion** beat Wall Street expectations.

3. ExxonMobil Profits vs. Production

- * **Signal:** ExxonMobil Q1 profits fell despite record oil production.
- * **Verification:** **Accurate.**
 - * **Profits Fell:** GAAP net income dropped to **\$4.2 billion**, down significantly from **\$7.7 billion** in the same quarter last year. This decline was primarily attributed to geopolitical disruptions in the Middle East and unfavorable timing effects on derivatives.
 - * **Record Production:** Despite the profit dip, the company achieved **record** quarterly production in Guyana (exceeding 900,000 gross barrels of oil per day) and saw overall oil production increase by approximately 5% year-over-year.

3. Raw Input Data

earnings:

- Imperial Oil Q1 2026 net income: CAD 940 million (down CAD 348 million YoY)
- ExxonMobil Q1 earnings beat analysts' expectations
- ExxonMobil Q1 profits fell despite record oil production

revenue_figures:

analyst_price_targets:

- XOM was trading at \$147.68 as of April 20th

financial_metrics:

- XOM's trailing P/E: 22.04
- XOM's forward P/E: 14.49

key_statistics:

- Market Cap: 620324.93M
- Shares Outstanding: 4156.56
- IPO Date: 1980-03-17

summary:

ExxonMobil reported Q1 earnings that beat expectations, driven by higher oil production in Guyana and the Permian. Despite this, overall profits experienced a decline due to headwinds and disruptions in the Middle East. The company is evaluating potential investments in Venezuela.